

## **Commentary on Chapter 12**

**You can get ripped off easier by a dude with a pen than you can by a dude with a gun.**

**—Bo Diddley**

### **The Numbers Game**

Even Graham would have been startled by the extent to which companies and their accountants pushed the limits of propriety in the past few years. Compensated heavily through stock options, top executives realized that they could become fabulously rich merely by increasing their company's earnings for just a few years running.<sup>[1](#)</sup> Hundreds of companies violated the spirit, if not the letter, of accounting principles—turning their financial reports into gibberish, tarting up ugly results with cosmetic fixes, cloaking expenses, or manufacturing earnings out of thin air. Let's look at some of these unsavory practices.

### **As If!**